

MANAGEMENT CONCEPTS

PROTOCOL

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ARTICLE I – GOVERNANCE

SECTION 1.1 – MANAGEMENT CONCEPTS DEFINED

Management Concepts (hereinafter referred to as “MC”) is an association of independently owned and operated retail dry-cleaners and launderers (hereinafter referred to as “Members”). The purpose of MC is to share knowledge for the benefit of its Members.

SECTION 1.2 – PROTOCOL

MC operates in accords with the MC by-laws (hereinafter referred to as “Protocol”). Any disputes regarding the meaning or intentions of existing Protocol shall be resolved by the Executive Committee.

Any amendments made to the Protocol must be approved by at least a 75% affirmative vote (rounding up) and the vote must have quorum. For the purposes of changing Protocol, quorum is 10 Members and 8 members must vote affirmatively to the proposed Protocol changes. There is only 1 vote per Member company.

SECTION 1.3 – EXECUTIVE COMMITTEE

The Executive Committee (hereinafter referred to as “EC”) will act as the executive body of MC. The EC will be composed of three elected positions: Chairman, Vice-Chairman (Treasurer/New Membership) and Secretary. These positions will have the following obligations:

Chairman:

1. Officially represents MC to any person or organization outside of MC.
2. Oversees the members of the EC to ensure all tasks are accomplished.
3. Verifies agenda and accommodations for all meetings but especially assists the Moderator with planning for the Executive Development Meeting.
4. Acts as a sounding board for any Member who has questions or concerns regarding anything with the group.
5. Responsible for any other affairs not enumerated under the other positions of the EC.

Vice Chairman (Treasurer/New Membership):

1. Oversees any financial dealings of MC as a whole.
2. Oversees that MC has full membership (as outlined in Section 4.1).
3. Responsible for all aspects of handling a Prospective Member’s transition into joining MC such as:

- a. Background checks to verify the Prospective Member is a good fit and does not have any conflicts with current Members.
- b. Manages the expectations of a Prospective Member such as the meeting dates, costs, etc. and expresses the values of MC to a Prospective Member such as confidentiality, honesty, sharing of knowledge, etc.

Secretary:

1. Maintains the minutes of the Executive Session of each meeting.
2. Maintains the Protocol if any amendments are passed by MC.
3. Acts as a reference for any Protocol questions.
4. Emails any Protocol updates and the Executive Session meeting notes to the other Members.
5. Acts as a reference for conflicts or confusion that may arise between meetings in regards to decisions made during the Executive Session.
6. Maintains the schedule of dates and locations for future Critique Meetings and Executive Development Meetings for the upcoming three years.

A new Secretary will be elected during the Executive Session of each Executive Development Meeting. After a new Secretary is elected, the Chairman shall step down, the Vice Chairman becomes Chairman and the Secretary becomes Vice Chairman.

Each position will be filled for a two-year term. Terms start when a new Secretary is elected at each Executive Development Session.

SECTION 1.4 – MODERATOR

MC may contract a moderator to assist with the facilitation of the group. The moderator's duties are as follows:

1. Assist the EC with any administrative activities.
2. Provide suggestions and comments in regards to how MC is managed and how meetings are structured.
3. Provide instruction in leadership, strategy and any other executive development philosophy.
4. Communicate ideas and respond to questions from Members via email or phone.
5. Plan the material for the Executive Development Meeting as well as the Philosophical portion of the Critique Meetings.
6. Maintain a Topics List for Philosophy discussions and maintain the list with current topics and priority of topics.

When MC chooses a moderator, each Member may nominate potential candidates for the position. The EC will review the candidates and select the few that are deemed to have the best fit with MC in areas such as philosophy, background and cost. Each remaining candidate will then be invited to a Critique Meeting where MC will review the prospective moderator's skill, style and fit with the group. After reviewing a candidate, MC will vote during the Executive Session whether the candidate should still be considered for the position. If the group votes unanimously in favor of the candidate then MC can vote either to extend an offer to the candidate or MC can wait to review all other remaining candidates before making a decision. The vote must be unanimous to extend an offer to a candidate.

MC shall require the moderator to provide the group with a contract stating all terms of the agreement. Any current contract with a moderator shall become part of this Protocol under Exhibit C.

In the event that MC is without a moderator, MC will self-moderate until a new moderator is hired. The terms of self-moderation shall be as follows:

1. The Host Company of a Critique Meeting shall select individuals from the Member companies to moderate the various sessions of the Critique Meeting. The Host Company shall also consult the Chairman of the EC to generate discussion topics for the Philosophy Sessions on Thursday morning and afternoon of the critique.
2. If MC is without a moderator for an Executive Development Meeting, MC can either organize a Critique Meeting in lieu of the Executive Development Meeting or MC can hire a short-term moderator specifically for the Executive Development Meeting.

ARTICLE II – CONFIDENTIALITY

SECTION 2.1 – CONFIDENTIALITY DEFINED

In order to achieve the trust necessary for complete honesty by all Members, all information shared in any meeting or any form of communication must be held in strict confidence. Discussion of any MC business outside the meeting by two or more members may only be held by appropriately secure means and that discretion will be exercised when held in a public place.

No MC business can be discussed with anyone outside the group. In particular, no specifics (e.g. financials, personnel, pricing, etc) about any Member may *ever* be divulged outside of any MC function. Also, if a Member requires confidentiality about a specific topic (e.g. marketing campaign, strategies, etc), that Member must announce that his or her specific topic requires extra confidentiality beyond what would normally be extended by the other Members. It is understood that any tactic or strategy adopted by any Member might eventually be discussed in another group

or organization. If a Member prefers, he or she may request a time-limit on any information divulged stating that no other Member may discuss the divulged information for the given period of time to any person or organization outside of MC.

If a break in confidentiality is suspected, the EC will be notified immediately. The EC will investigate the allegation and recommend an appropriate action.

Each Member understands they have a moral and ethical responsibility to fellow Members who have entrusted each other with confidential information. To break this trust is to destroy all values and principles MC represents to its Members.

Confidentiality is extended not only to current members but also all Prospect Members and Former Members. No information about Former Members should be shared with any new Members.

ARTICLE III – MEMBERSHIP

SECTION 3.1 – MEMBERSHIP DEFINED

MC will consist of no more than thirteen (13) Member companies from the textile maintenance industry.

An “Owner” of an MC Member company is the person(s) who has the highest decision-making authority of the company.

Each MC Member company has person(s) who hold a critical executive position and/or who have ownership in the company (these person(s) hereinafter shall be referred to as a “Principal”. An Owner is always considered a Principal but a Principal is not always an Owner.

SECTION 3.2 – NEW MEMBERSHIP

A prospective member hereinafter shall be referred to as a “Prospect”. A Prospect must meet the following guidelines:

1. Prospect company should have a minimum of 70 employees.
2. Prospect company should generate at least \$3 million in annual revenue from the retail dry-cleaning and laundry operation.
3. It is a goal of MC that Members have regional diversity; thus allowing the entire country to be somewhat represented.
4. When a current Member and a Prospect operate in different states but are close to state borders, and thus could be considered to operate in the same marketing area, membership will not be considered unless the MC Members deems it acceptable by unanimous approval.

A Prospect may become a Member of MC after the following steps have been completed:

1. A Prospect must meet the requirements listed above
2. A current Member must nominate a Prospect for membership
3. If it is the consensus of MC that the Prospect appears to be a good fit and no conflicts of interest are apparent then two current Members must visit the Prospect before the Prospect is invited to a meeting.
 - a. It is the role of the visiting Members to verify the Prospect's fit with the group and to verify there are absolutely no conflicts of interest with any current Member.
 - b. The Prospect must share their financial data with MC Members prior to final consideration for membership.
 - c. If MC is comfortable with the data collected by the visiting Members, then the Prospect will be invited to a meeting.
 - d. When a current Member visits a Prospective Member, any costs incurred shall be submitted to the Host Company for the next meeting and the costs shall be split equally among all Member companies.
4. At Prospect's first MC meeting, the Prospect will deliver a 30-minute presentation which should provide an overview of their company in sufficient detail so current Members can assess the Prospect's membership suitability.
5. At Prospect's first MC meeting, the Prospect will be considered for membership in MC during the Executive Session.
6. Unanimous approval of the group is required for membership.
7. If MC votes unanimously to extend membership to the Prospect, then the Prospect must decide before the next MC meeting to accept or decline membership.
 - a. If a Prospect fails to respond prior to the next MC meeting, the offer to join MC is automatically retracted.

Upon accepting an offer to join MC, the following shall happen:

1. The Prospect shall become a full Member.
2. The Prospect will be added to the Email List and The Book as soon as possible.
3. The Prospect shall provide MC with the names of all its Principals for the MC Book's Principals' Page. These names will be voted on in accordance with Section 5.3.
4. The Prospect must commence paying all MC Fees starting with the first month following acceptance of membership.
5. The Prospect shall pay a \$200 fee to the Book Manager who will put their financial information in the MC Book.

SECTION 3.3 – TERMINATION OF MEMBERSHIP

Membership may be revoked from any Member at any time. This action requires the full unanimous vote of all other Member companies in accordance with Section 3.5. Membership may be revoked for reasons including but not limited to:

1. A breach of confidentiality
2. Owner is not present at two meetings per calendar year or misses 2 consecutive meetings (this requires a mandatory vote as outlined in Section 4.7)

If a Member decides to terminate his or her own membership status, the Member's financial data is immediately removed from the Book and the outgoing Member must be fully caught up on payments to the Moderator as well as the Book Manager.

When a Member's membership status is terminated, the group may, after one year has passed since termination, seek to find a new Prospect Member from the Terminated Member's market. The remaining Members will continue to be bound by the Confidentiality Agreement in Article II. No Prospect Member will ever be given any information of former Members.

SECTION 3.4 – COMMUNICATION

When not at an MC meeting, the MC Members will communicate official MC information via the MC email lists. The email lists will be maintained by MC's designated Member (hereinafter referred to as the "Email Manager"). The Email Manager will be elected at each Executive Development Meeting and the term will last two years until the following Executive Development Meeting.

The Email Manager shall maintain the following two email lists:

1. **MC-Principals** – This email list contains all of Principals from each Member company and the Moderator.
2. **"The Book" Email List** – This email list contains the individual email addresses for the designated receivers within each Member company for the monthly Book. It is the responsibility of those on this list to distribute the Book to other people within their company.

SECTION 3.5 – VOTING

MC uses Member voting as the method to make group decisions.

If the voting occurs during a Critique or EDM, then only the members present are allowed to vote. In other words, if a Principal is not in attendance during an Executive Session then his or her vote is neither counted nor required to carry out a vote.

Proxy voting is permitted during meetings. A Member must choose another Member to vote in his or her place and the Chairman must be made aware of this proxy in advance of a vote.

Members may vote on issues while a meeting is not in session. In the case of a non-meeting vote, all companies must register a vote and a member of the EC must be the acknowledged vote recorder. The member of the EC tracking the votes will announce the outcome of the vote once the vote is complete.

In general, simple majority of all attendees present will suffice in most instances such as: changing meeting structures, schedules, hiring speakers, or electing officials to the EC. A unanimous vote by Principals only (unless proxy is used), one vote per company, is required only in the following instances:

1. To extend an invitation of membership to a prospective member
2. To contract a moderator for the group
3. To remove membership status from a current Member (this vote is required as per Section 4.7 if a Principal Member fails to attend 2 consecutive meetings).
4. To add people to the Principal's list in the book and, therefore, to the email list.

ARTICLE IV – MEETINGS

SECTION 4.1 – MEETINGS DEFINED

MC has three different types of meetings. The first type of meeting is a gathering of all Member companies at one Member's operation (hereinafter referred to as the "Host") in order for all other Members to critique the Host's organization. This first type of meeting shall hereinafter be referred to as a "Critique". Using a revolving schedule, each Member will Host a Critique of their company. This is the opportunity for each Member to gain the input from the other Members of MC. These Critiques are intended to make significant contributions to the effective management of the Host's company.

The second type of meeting is a gathering of all Member companies to discuss business topics that benefit all Members in business or life affairs. The purpose of this meeting is to develop the executives of each Member's company. This second type of meeting is called an Executive Development Meeting but shall hereinafter be referred to as an "EDM".

The third type of meeting is an urgent request made by one Member company. This type of meeting shall hereinafter be referred to as a "Special Meeting". A Special Meeting can be called at any time by any Member. Those that can attend

will do so. Special Meetings do not have a pre-designated structure. Special Meetings are organized and structured as per the Host Company's requests.

SECTION 4.2 – MEETING SCHEDULE

MC will meet three times a year. For ease of planning, each of the meetings shall be chosen during the following time windows:

1. January 15 to February 15
2. May 15 to June 15
3. September 15 to October 15

It is expected of each Principal that he or she attempt to always keep these three monthly windows free of any long-term engagements so as to keep these dates free for MC meetings.

During even-numbered years, all three meetings will be Critiques. During odd-numbered years, one of the meetings will be an EDM which alternates between the first meeting and the second meeting. For example, in 2007, the EDM will be the second meeting of the year. In 2009, the EDM will be the first meeting of the year and so on.

As stated in Section 1.3, the Secretary of the EC will maintain the MC meeting schedule for the upcoming three years. The meeting schedule will be updated in during the Executive Session of each meeting. The Secretary will always put the updated meeting schedule in the meeting notes.

SECTION 4.3 – CRITIQUE MEETING STRUCTURE

The Principals of the MC Member companies shall attend the Host company's Critique meeting on a pre-selected date as outlined in Section 4.2 and as recorded by the Secretary. The daily schedule of each Critique shall be broken into sessions as follows:

Tuesday:

1. Travel day – all Members and moderator arrive.
2. 6:30: Dinner (Casual / Optional)

Wednesday:

1. 7:30 – 12:30: Plant Tours and Critique Session
2. 12:30 – 1:00: Lunch
3. 1:00 – 5:00: What's New Session
4. 6:30: Dinner (Dressy Casual / Required)

Thursday:

1. 7:30 – 9:30: MC Book Session

2. 9:30 – 12:30: Philosophical Session
3. 12:30 – 1:00: Lunch
4. 1:00 – 3:00: Philosophical Session (cont.)
5. 3:00 – 4:00: Executive Session
6. 6:30: Dinner (Casual / Optional)

The following is a brief description of each of the main sessions of the meeting:

Plant Tours and Critique Session

MC will visit several locations of the Host company's operation. MC Members will be provided with data on each of the Host's locations as well as a critique form to grade or judge each location. After the tour, MC will deliver the Critique to the Host company back at the hotel. At this critique meeting, the Host Company may invite personnel into the meeting who are not a Principal or on the Principal's Page of the MC Book. These people are invited to this critique meeting because the information provided may be of benefit to multiple persons within the Host Company. The Principals of the Host Company may choose who they wish to attend the Critique Session. These additional persons are not allowed into any other meetings listed in this agenda.

What's New Session

Prior to the Critique meeting, each Member must prepare a What's New report as per Section 4.6. During this session, each Member will have the opportunity to discuss their What's New report and ask questions and feedback of others. The first Member to share their What's New report will be the Member who last hosted a Critique meeting. Each company should bring copies of their What's New to the meeting to distribute to other Members.

MC Book Session

In this session, MC Members will discuss specific topics as they relate to the monthly financial data. These topics will be chosen in advance by the Members in conjunction with the Book Manager.

Philosophical Session

In this session, MC Members will discuss specific topics in regards to management and leadership philosophy. These topics will be chosen in advance by the Members in conjunction with the moderator. The moderator will maintain a Topics List for the philosophy section. The Topics List will show all topics of interest

as well as priority so Members know what to expect for the next meeting. The Moderator will continually seek new topics and frequently verify the prioritization.

Executive Session

MC Principals and the Moderator are the only persons allowed to attend this meeting. During this meeting the group will discuss topics pertinent to operation of the MC association. Particularly, MC Members will discuss:

1. Changes to Protocol
2. Prospect members
3. Upcoming meeting schedule (Critiques or EDM)
4. Any other topic requiring full participation by the Members as a whole

No Member is allowed to depart before the conclusion of Executive Session which must end no later than 4:00 pm on Thursday unless MC unanimously approves to extend the meeting.

SECTION 4.4 – HOST COMPANY REQUIREMENTS FOR CRITIQUE

The Host of a Critique meeting must perform the following actions to prepare for the Critique:

1. Create a Critique Manual containing some or all of the following suggested information:
 - a. Welcome and Overview of Meeting: This section should present a detailed schedule for the meeting, critique schedule and logistics, meals, and activities and a list of attendees. In addition, any additional activities, transportation and hotel arrangements, and the like should be presented in this section.
 - b. Overview of the Member Company: This section should contain a detailed review of the firm. This review should contain the history of the company; a brief summary of the CEO's vision for the firm; a review of the current goals and strategies; a description of the executive management team; a description and rationale of the structure of the organization; a list of current plans, programs and concerns; and the like.
 - c. External Analyses: This section should review the community, political, economic, and social environments relevant to the business activities of the member firm. In addition, this section should review the local competitive environment and review the strategies and activities of significant competitors.

- d. Internal Analyses: This section should review current management programs and activities and present a complete financial review of the member company showing the details of significant business units.
 - e. Location Analyses: Each location should be presented in detail. Each location should include performance analyses (operating and financial reports and indicators), as well as management and operational details. Any concerns of the Principals should be mentioned for each location as appropriate. Performance analyses should include plans, budgets, and actual performance as well as balance sheet information for the location.
 - f. Guiding Questions: Key concerns and questions before management should be specified so the group better understands the decisions with which the member firms are concerned and are requesting the groups' assistance.
 - g. Feedback Forms: Forms for group members to submit their comments should be included in the book. They are usually placed in several sections of the detailed review (some general forms and some specific to the locations).
 - h. Additional Information: The detailed review should include any other information that will better inform the members about the company's business(es).
- 2. Prepare all hotel, dining and transportation arrangements.
 - 3. The Host shall pay the meeting expenses in a way that is appropriate and convenient. Shortly after the meeting the Host allocates costs for each meeting to the Members.

SECTION 4.5 – ALL MEMBERS' REQUIREMENTS FOR CRITIQUE

Each Member attending the Critique must prepare a What's New report and bring copies for all other members to be shared at the Critique.

SECTION 4.6 – EXECUTIVE DEVELOPMENT MEETING STRUCTURE

The Principals of the MC Member companies shall attend the EDM on a pre-selected date as outlined in Section 4.2 and as recorded by the Secretary. The daily schedule of the EDM will be the same format as the Critique meetings; however, the moderator, in conjunction with the Members of MC, will plan the topics of each session meeting.

In addition, it is during the EDM that the group will vote to elect new persons to the following positions:

- 1. Secretary (as stated in Section 1.3)
- 2. Email Manager (as stated in Section 3.4)
- 3. Book Manager (as stated in Section 5.2)

The What's New Session and the MC Book Session will still occur during the same session times as in the Critique meeting schedule unless otherwise adjusted.

Spouses and families are encouraged to attend the EDM.

SECTION 4.7 – ATTENDANCE & ATTENDEES

If Owner is not present at two meetings per calendar year or misses 2 consecutive meetings then MC *must* vote on whether to terminate that Member's membership.

Attendance shall be limited to 3 people per company unless approved by the Host Company. Any attendee not listed on the front page of the Book must be approved by the Executive Committee and the Host Company in advance of the Critique. The Host Company may allow any of their own employees to attend the Critique portion of the meeting.

ARTICLE V – THE BOOK

SECTION 5.1 – THE BOOK DEFINED

The MC Book (hereinafter referred to as the "Book") is the Members' financial data distributed each month by MC's designated Member (hereinafter referred to as the "Book Manager").

SECTION 5.2 – REQUIREMENTS

Each Member company agrees to supply to the Book Manager complete and accurate financial information about the monthly performance of the firm in the required format. The data for each month is submitted via email to the Book Manager no later than the 15th of the following month. The data consists of complete income statement analysis and operating reporting for retail and uniform (if appropriate). In addition, a complete balance sheet is also submitted showing the status at the end of the reporting month.

The Book Manager compiles this data into the Book showing individual and comparative performance measures. The Book Manager then emails the Book to designated receivers in each company (in accordance with Section 3.3).

Each Member shall pay the Book Manager's company \$50 per month. This fee is reimbursement for the Book Manager's time spent on preparing the Book. This fee will be billed on a quarterly basis in the amount of \$150.

The Book Manager will be elected at each EDM and the term will last two years until the following EDM.

SECTION 5.3 – MEETING ATTENDEE PAGE

On the first page of the Book, after the cover page, is the Principals' Page. The Book Manager shall maintain the list on the Principals' Page.

Only the people enumerated on these lists are allowed to attend MC meetings (except for additional staff of a Host Company during the Critique Session of a Critique Meeting as outlined in Sections 4.3 and 4.7).

Any new attendee to a meeting must be accompanied by a Member currently on the Principals' Page of the Book.

To add an individual as a Principal to the front page of the Book, an Owner must make an informal presentation to the Group during an Exec Session explaining both: 1) who this person is and 2) why he/she should become a Principal. MC Members must unanimously approve the change.

If a company's Membership with MC is terminated, all Principals from that company shall be removed from the Principals' Page thereby terminating their ability to attend any MC meeting.

ARTICLE VI – FEES

SECTION 6.1 – FEES DEFINED

Each Member company agrees to pay all fees associated to maintain and participate in MC functions. For each MC meeting, each Member shall pay for their company's attendee's transportation and lodging. All other costs of the meeting, including but not limited to meals, transportation, meeting room, screen/projector rental, internet access in meeting, etc., shall be paid by the Host company and then invoiced back to all companies using the following method:

1. All rental costs, other standard meeting expenses and any additional moderator expenses are divided evenly among all member companies.
2. All meals are prorated among how many attendees each Member has present at a meal compared to the total number of people at the meal.
3. When a current Member visits a Prospective Member, any costs incurred shall be submitted to the Host Company for the next meeting and the costs shall be split equally among all Member companies.

In addition to the meeting expenses, all Members agree to pay the required monthly fees. There shall be a monthly fee for the moderator's ongoing services. Also, there shall be a monthly fee for the Book Manager's time in preparing the MC Book. The current costs of these fees are outlined in Exhibit B.

EXHIBIT A

CURRENT ELECTED MEMBERS

Chairman: Tom Zengeler, Zengeler Cleaners

Vice Chairman: Steve Klinke, Klinke Cleaners

Secretary: Brett Goldberg, D.O. Summers

Book Manager: Norm Ravagnani, Best Cleaners

Email Manager: Steve Klinke, Klinke Cleaners

EXHIBIT B

CURRENT COST BREAKDOWN

Current Members

1. Moderator Fee = \$7,000 per meeting
 - a. =\$21,000/year
2. Monthly Book Manager Fee = \$50 per month per member (billed quarterly)

New Members

1. Book Manager Fee = \$200 one-time payment for being setup in the Book

EXHIBIT C

MODERATOR CONTRACT

August 8, 2006

Mr. Tom Zengeler
President
Zengeler's Cleaners
550 Dundee Road
Northbrook, IL 60062

Dear Tom,

I appreciate the opportunity to be engaged as the ongoing facilitator for your Management Concepts-12 national peer group of Dry Cleaning companies. This letter reflects my experience in Omaha facilitating the June 6-7th meeting, and our discussions regarding the terms to govern the ongoing engagement.

Background and Objectives

The MC-12 group needs a facilitator for its meetings. Meetings are held 3 times a year, at a rotating location around the country, with members taking turns hosting the sessions. In addition, there are periodic executive development retreats that are held at non-member city locations, about every year and one half. The general meetings run for 2 days, with the facilitator generally involved throughout both days. There are occasionally pre meetings, where a small subset of the full group meets the day before. As we have discussed, you expect the moderator to serve as a value-added content developer and facilitator – someone who has the acumen and resources to develop content based on the priorities set for the group.

Your objectives for serving the group going forward would include:

- Ensuring that the meetings are viewed as well organized, energetic, and content rich
- Delivering value added content that helps the membership as a whole tackle common challenges, and improve the operations and results of their businesses
- Providing education and development topics for the members that further develops their skills and capabilities
- Re-establishing the regular electronic communication between the members that took place in between the full meetings

Approach and Deliverables

I would approach the assignment with the intent of working within your existing structure of 3 meetings a year, with about 2 days of business content at each. A summary of the proposed general agenda for the meetings would be as follows:

Day 1 – AM	Walkthru and tour of host member business Structured critique of host member business using the “6 thinking hats” framework that
Day 1 – PM	What’s New Focus Topic Presentation / Working Session Set in advance, based upon priorities of group
Day 2 - AM	The Book Potential Speaker Additional Focus Topic Presentation / Workshop
Day 2 – PM	Additional Focus Topic Presentation / Workshop Parking Lot Follow up Meeting go around Executive Meeting

The Focus Topic presentations / working sessions would be unique to each meeting, and could be centered around 1-2 specific topics based upon the priorities of the group. They could also have some recurring themes, such as time devoted to a strategic issue in the business, followed by time devoted to people development. An example would be to have a session on how to combat the overall decline in pieces, followed by a session on how to hire and retain better employees. The timing and duration of the working session, the Book review, the “What’s New” discussion, and a potential speaker could all be adjusted for a given meeting. A more detailed version of this agenda is shown as Attachment 1 to this letter.

You or someone in the MC-12 group will continue to produce “The Book” of financial and performance information to be distributed each month; they will also present summary findings at each meeting.

The overall set of steps we would go thru would be as follows:

- Set the agenda for the year – either theme the meetings together or establish a theme for each one, along with the objectives and goals for each meeting. This could be adjusted as we go along, but I’ve found we have more buy in if people can see what to expect in advance.
- For each meeting, I would develop the materials and outline for each work session. We have found these to work best if we have some blend of material presentation mixed with interactive sessions and exercises that are planned in advance to utilize / reinforce the materials. I would also want to work with you, and possibly the host, to vet the materials and exercises and make sure they are on track.
- Develop and distribute any pre-read materials, or preparation exercises to each of the members
- Collect and assemble any required business information from the members

- Conduct the actual meetings. This would include a structured debrief of the hosting member's business tour and presentation. This would be followed by the actual sessions.
- Confirm the content and agenda for the upcoming meetings
- Develop and distribute write ups and member commitments

I will utilize resources from my files, from original research I perform, and from materials in the libraries from The Alternative Board. As we have arranged under a separate contract, you have joined TAB, which will provide us access thru your membership to these resources. If your members wanted to join TAB locally to arrange services, I can set that up.

The major deliverables related to the meetings would be

- The pre-established agenda
- Pre-read and other preparation materials for the workshops
- Presentation / walkthrough content for each of the working sessions
- Facilitation of the meetings, providing interaction and perspectives in the meetings
- Post meeting documentation
- I would also send an electronic copy of the TAB monthly newsletter to each member, and access via your membership in TAB to the hotline and other TAB resources

With regards to re-establishing the between meeting electronic communications, I would propose implementing a web based "MC-12 Collaboration" capability. The initial scope of capabilities on this tool could include:

- An announcements section to communicate information to the group
- A calendaring function, where all important dates for the group can be maintained
- A discussion thread capability, where members can post questions and other members can provide answers to their responses; there are capabilities that enable the members to interact with this capability thru email, and then maintain the thread of responses on a web site for future reference.
- A file sharing capability, where documents, examples, photos, and best practices can be stored and accessed by the members
- A notes capability, where findings and feedback from meetings can be stored and documented

Based on research to date, a forum like this can be hosted on some sites for under \$100 per month; there are some free sites. What I have found is that the free sites are less user friendly and don't have the breadth of capabilities that some of the pay sites have. Part of this will also be the administration of the site (users, passwords, filing and organization) and the general review of content. Having used these tools both at Accenture and on an ongoing basis at TAB, there is a definite need to perform a "knowledge management" function to review overall content and keep the site from getting cluttered. I can perform this function, although depending on the workload it may make sense to assign this to someone in a member company.

Sample Agenda

I also committed to you to give you some thoughts on how I would address some of the items your members had laid out as priorities. I read both lists with a bias to the more recent one. Several of the items relate to common issues around people:

1. Org structure & change
2. Leadership & mgt development
3. Personal Growth
4. Communication
5. Teams & Team building

These could be addressed with a series of working topics / working sessions, with an overall theme of “improving people management”. This should be a relevant topic as most companies can do better (or a lot better) at managing their people; there is also a coming labor shortage that will require better hiring, management, and retention of people. My approach would be to pull from my resources to develop an ideal, or at least leading, position on a topic and then have the members, with prepared exercises, compare themselves to that framework.

I have included as Attachment 2 the original suggested agenda outlines of business topics that we discussed in prior meetings. These are attached for your review, and cover two different sessions – one on assessing and developing the management team, and one on an assessment of the overall employee life cycle. These are both drawn from similar topics and exercises we’ve used in our TAB meetings here in Chicago.

Resources and Costs

I would plan to pull from several sources in developing and delivering the content

- I have developed over the years my own library of white papers and reference materials that I regularly pull from to develop topics for my peer boards
- I would pull from my client experience of 25 years in helping businesses drive change – thru strategic planning, business process change, information systems implementations, and team development
- I would utilize my training and certification in assessing behaviors, attitudes, and skills using Target Training International’s patented assessments, of which I am a distributor
- I would pull from the reference libraries of The Alternative Board, TAB
- We conduct 3 CEO forums per year within TAB on special education topics. We also work with JP Morgan Chase to develop and facilitate their new “Business Education” Series, targeted at their mid market business clients (\$5-\$50MM in revenue). Both of these seminars consistently generate useful reference content.
- I also consistently invest time and money in seminars and materials that further my own business skills. These include two seminars a year with TAB, where we share

expertise on helping our 2,500 members, and subscriptions to business publications.

My costs would be driven by the structuring and creation of materials for the content sessions of the meetings, the actual time incurred in facilitating the sessions, and in any post meeting wrap up time required. I have estimated this as follow per meeting, plus any expenses for materials, copies, etc.

Period	Per Meeting Estimate
June 2006 – May 2007	\$7,000
June 2007 – May 2008	\$7,500
June 2008 – May 2009	\$8,000

I would plan to leverage, as much as possible, any administrative resources at the hosting member company. This would be primarily for material preparation and copies. To the degree that wasn't available or practical, I would utilize the contract services I have access to here in Chicago. In addition, I would bill for any travel expenses incurred at actual cost. Finally, there may be topics we cover that entail the use of other resources – for instance, we used the TTI Style Assessment tools for the Omaha meeting, and these involved an additional cost. Any such costs would be discussed and documented up front, and would incurred and billed only as agreed for a given meeting session. For the retreat meetings, which will run under a different agenda, we would make mutually agreed upon adjustments to the agenda and to the fee structure based upon the meeting content. This arrangement will cover a 3 year commitment; both sides agree to a 30 day termination period.

This cost estimate is based upon my the approach defined in this letter for meeting content preparation time and meeting conduct time – this would be my working budget for meetings going forward, and any variance from this would be discussed in advance.

The cost for setting up and hosting an MC-12 Collaboration web site would depend on the tool / environment selected, the scope of functions to be included, and the approach taken for monitoring and maintaining the site. I would recommend some discussions between you, me, and a few of the MC-12 members to come to a conclusion on the direction to take and scope to include, and to then establish the contractual workings under a separate arrangement as needed.

The term of this agreement will be one year, with an option to renew for 2 years. The renewal will be handled with an updated version of this letter.

I will submit an invoice to the host of the meeting, inclusive of all fees, expenses, and additional agreed upon items, upon the completion of each session. It is my understanding that I will be paid by the host company, which will then handle the split of expenses to the member companies.

* * * * *

Tom, I very much appreciate the opportunity to serve your long standing group as a resource to organize and deliver content, while facilitating an effective and value added meeting.

If you, or anyone in the group, has any questions or comments regarding this arrangement, please don't hesitate to get in touch with me at the contact points below.

Sincerely,

A handwritten signature in black ink, appearing to read "Mike Petrushka", with a horizontal line extending from the end of the signature.

Michael D. Petrushka
Certified Facilitator
The Alternative Board, TAB®
One Westbrook Corporate Center
Suite 300
Westchester, IL 60154

Acknowledged: _____

Print Name: Tom Zengeler

Title: _____

Attachment 1 – Standard 2 day Meeting Agenda

Time	Subject	Facilitator Role
During the month prior to the meeting	Established by meeting and depending on the topics	Distribute preparation material; Solicit and assess group feedback as required
Day 0	Preceding General Meeting	
8:00 am – 4:00pm	Special Topic Meetings (TBD)	Available on Request
7:00 PM	Dinner	Attend
Day 1	General meeting	
7:30 am – 8:00am	Welcome and review highlights of the business by the host	Attend
8:00 am – 11:00am	Tour the host member’s facilities	Attend
11:00 am – 12:30 pm	Critique of the member’s business and facilities	Facilitate the session using “6 Thinking Hats” structure
12:30 pm – 1:00 pm	Lunch	
1:00 pm – 3:00 pm	What’s New	Facilitate and Moderate the discussion; keep things moving, parking lot issues
3:00 pm – 6:00 pm	Focus Topic working session - Topic set in advance by meeting - May require prework “Brainstorming”	Prepare and conduct topic presentations; Create and facilitate exercises to enhance understanding and application
7:00 pm	Dinner	
Day 2	General Meeting	
7:30 am – 9:00 am	Book Review	Attend
9:00 am – 12:00	Moderator Block – Focus Topic - Potentially used for a speaker - Subject TBD for the meeting	Facilitate – move thru the members, keep meeting on track, capture any parking lot issues
12:00 pm – 12:30 pm	Lunch	
12:30 pm – 3:00 pm	Moderator Block - Focus Topic	Facilitate session - Utilize information gathered in up front survey - Provide insights from management and TAB experience
3:00 pm – 3:30 pm	All members provide meeting “net out” commentary	Facilitate
3:30 pm – 4:30 pm	Executive Session	Not attending

Sample Agenda (1)

Improving the management team and how it operates

- 1) Organization structure – today and in 5 years
 - a. Cover a basic organization chart with all functions identified
 - b. Define the critical results to be delivered by each key management position
– have a starting point, but engage the group in refining this definition
 - c. Identify those functions that will grow in importance
- 2) Team Evaluation
 - a. Map current management staff for current performance and future potential
 - b. Identify potential needs
- 3) Performance Management
 - a. Establishing goals and objectives
 - b. Defining the right Key Performance Indicators for each manager
 - c. Developing a framework for management meetings and communications

Sample Agenda (2)

Improving the employee life cycle

- 1) Defining specific positions
 - a. Lay out an ideal job description format (9 parts)
 - b. Review a couple key position samples (do them for Zenglers and have the group critique)
 - c. Define how these are used in recruiting, orientation, training, performance assessment, salary administration
- 2) Finding good people
 - a. Recruiting strategies
 - i. Traditional ads
 - ii. Online job posting / candidate posting web sites
 - iii. Referral programs
 - b. Web based pre-employment screening
 - c. Utilizing behavior, attitude, and skills assessments in the hiring process
 - d. Effective phone screening and interviewing techniques
- 3) Getting off on the right foot
 - a. Review of orientation and training programs
 - b. Mapping out 1-, 3-, and 6-month goals
 - c. Best practice exercise for training and mentoring
- 4) Managing and Assessing performance
 - a. Review processes and periods
 - b. Evaluation forms – what's used now, what works, what doesn't
 - c. Separating performance assessments from salary administration